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Our Ref: JHI/M2
Your Ref:
Date: 1st February 2007

Dear Peter

THE USE OF TRACKING DEVICES BY ENQUIRY AGENTS.

I have recently become aware that at least one firm of enquiry agents operating in the Income Protection market makes use of tracking devices to maintain contact with the subject of enquiry when the subject of enquiry is travelling by car. The use of such devices does have considerable advantages to the enquiry agent, as even when visual contact with the subject of enquiry's vehicle is lost, the enquiry agent can be confident that they will locate the vehicle again very quickly and they will know where the vehicle is and where it has been.

My colleagues and I have given this considerable thought and discussed the use of tracking devices with several leading industry figures. We have prepared a discussion paper "Is The Use of Vehicle Tracking Devices for Income Protection Claims Investigation Good Practice?" and we would appreciate the views of clients and colleagues in the Income Protection market. I am enclosing a copy of our discussion paper herewith.

Any views you have would be welcomed, either by telephone, letter or e-mail at jharris@hcbgroup.co.uk.

Yours sincerely

Jim Harris
Managing Director

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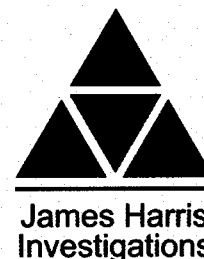
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IS THE USE OF VEHICLE TRACKING DEVICES FOR INCOME PROTECTION CLAIMS INVESTIGATIONS GOOD PRACTICE?



Introduction.

James Harris Investigations (JHI) has never used electronic tracking devices to be able to know where the subject of enquiries vehicle is at all times during an investigation. Recently JHI has been told that they lose subjects of enquiry being followed by car more frequently than some other investigators. Initially this was put down to the practice of making direct approach under pretext which may make JHI's enquiry agents more vulnerable to compromise and causing them to be more cautious when following the subject of enquiry combined with modern traffic conditions.

However, JHI has recently learned that an investigation company competing in the Income Protection market has disclosed to an insurer that they use electronic tracking devices that they attach to the subject of enquiry's vehicle before they commence their surveillance. This enables them to maintain contact with a vehicle if they lose it due to traffic conditions or if the enquiry agents suspect that the subject of enquiry is becoming aware of their presence and need to keep their distance.

JHI has considered if they should adopt the use of such equipment as competitors who do use the equipment appear to be performing better than JHI in the eyes of insurer clients.

What sort of tracking devices?

The type of tracking device is one that will provide the location of the vehicle on which the device has been placed to remote equipment monitoring the device's signal. The equipment will not have any audio or visual function. The devices commonly use radio, microwave or GSM systems to communicate the location of the device to the monitoring unit. GPS/GSM equipment is the most efficient.

The tracking device is usually attached to the subject of enquiry's vehicle by a magnet and should not cause any damage to the vehicle.

Is it legal?

The use of such equipment does not appear to be illegal. The arguments are as follows: -

- Regulation of Investigatory Powers Act 2000 (RIPA).
This applies in the public sector but private enquiry agents should take it into account as the courts and ombudsman will and should act within the spirit of the Act. The main purpose is to ensure that investigative powers are used in accordance with human rights. The use of a device that will only provide information about the whereabouts of the subject of enquiry's motor vehicle is not considered to be intrusive surveillance.
- Tampering with Motor Vehicles.
This is covered by Section 25 of the Road Traffic Act 1988. There seems to be sufficient case law to say that placing a tracking device on the vehicle does not contravene this section of the Act.
- Human Rights Act 1998.
This applies to Public Authorities such as the Courts or Ombudsman.
The relevant articles are: -
Article 8 the right to respect for private and family life; and
Article 6 the right to a fair trial.
The courts will be aware of the public image and want to ensure that all surveillance is proportionate and professionally carried out with due respect for the rights of the subject of enquiry and their property.
It is important to demonstrate that the surveillance is undertaken because there are grounds for a reasonable suspicion that a criminal offence is being committed or that a claim or sickness is not genuine or is exaggerated (i.e. criminal offences of deception and an attempt to pervert the course of justice).

- **Data Protection Act 1998.**
The first principle is that data should be fairly and lawfully obtained. Data processed for the following purposes is exempt from the Act: -
a) the prevention or detection of a crime;
b) the apprehension or prosecution of offenders;
c) the assessment or collection of tax or duty ----.
Again it is important to demonstrate that the surveillance is undertaken because there are grounds for a reasonable suspicion that a criminal offence is being committed or that a claim or sickness is not genuine or is exaggerated (i.e. criminal offences of deception and an attempt to pervert the course of justice).
- **Protection from Harassment Act 1997.**
This legislation prescribes that a person should not pursue a course of conduct-
a) which amounts to harassment of another;
b) which he knows or ought to know amounts to harassment of another;
However, this does not apply to a course of conduct if the person who pursued it shows: -
a) that it was pursued for the purpose of preventing or detecting crime;
b) that in the particular circumstances the course of conduct was reasonable.

Summary.

Current legislation does not prohibit the use of GPS/GSM Tracking devices as an aid to surveillance.

Is the use of tracking devices reasonable?

Before RIPA the permission of a Chief Constable was needed before electronic tracking devices could be used and then only for serious offences (e.g. kidnap, robbery, drugs etc.) and as the last option, requiring production of evidence to show that conventional methods had failed. RIPA has formalised the position but the same principles apply. The use of tracking devices by state organisations is never disclosed in open court unless the trial judge dictates that it should.

Moving away from the strict legal position we must consider if the use of electronic tracking devices is reasonable and in proportion to the investigation of disability claims.

There are other risk factors to consider: -

- The enquiry agent might be caught while placing the device on the vehicle. This would normally be done in a public place to avoid the charge of trespass by entering the subject of enquiry's property to attach the device;
- The device might be found by the subject of enquiry;
- Motor vehicles are becoming more complex with electronic systems, airbags, ABS etc. and the tracking device is effectively a mobile phone attached to the vehicle emitting radio signals and microwaves, probably close to the vehicles fuel tank.
- The Home Office do not allow the deployment of such devices where there is a risk that the vehicle will be carried on a ferry or ship because of the risk of interfering with the navigation devices.

Summary.

From the enquiry agent's point of view there are significant advantages in using tracking devices. Once attached to the subject of enquiry's vehicle the enquiry agents can follow the vehicle from a distance and be confident of locating the vehicle again quickly if it is lost in traffic. The risks of compromise are relatively small and if the use of such devices is not mentioned in reports it is unlikely that the subject of enquiry, or indeed the insurer, will be aware that such a device was used.

Against this is the relatively small risk of an enquiry agent being caught using such devices. It is our view that the courts and ombudsmen would take the view that the use of tracking devices is disproportionate to the nature of the "criminal activity" being investigated. The majority of disability insurance claims are initially investigated because a number of "red flags" are shown that suggest that the claim may not be valid. Very few investigations result in a criminal prosecution.

From the insurers point of view there is a significant risk of adverse publicity if the press found that an insurer was instructing enquiry agents that employed the use of tracking devices. While RIPA does not apply to enquiry agents working for insurers the public will reasonably expect the enquiry agents instructed by insurance companies will work to the same standards. A number of financial journalists, particularly Jeff Prestridge, Financial Editor of the Mail on Sunday, have been critical of insurers for simply employing enquiry agents to investigate disability claims let alone enquiry agents who might use ethically dubious tactics.

JHI believes that the use of tracking devices is disproportionate to the investigation of disability claims and that such use would attract criticism from the courts and from ombudsmen if the use of tracking devices was disclosed. There is a risk of adverse publicity for insurers that employ enquiry agents that use tracking devices even if the enquiry agents do not disclose this to their insurer clients.

If an enquiry agent intends to employ the use of tracking devices we believe that this should be disclosed in advance to the client who will then have the opportunity to undertake their own risk assessment before deciding whether or not to agree to the use of such devices. JHI also believes that the insurer should obtain the agreement of their reinsurer before agreeing to allow enquiry agents to use tracking devices.

JHI would appreciate the views of its clients regarding the use of tracking devices.